IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **26.07.2024** THROUGH VIDEO CONFERENCING

PRESENT: **HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)**
HON'BLE SHRI. VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

APPLICATION NUMBER	**:** CA(CAA)/63/CHE/2023
PETITION NUMBER	**:** CP(CAA)/1(CHE)/2024
NAME OF THE PETITIONER(S)	**:** Rinelie Micro Fabrics Pvt Ltd and Other
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**:** Sec 230-232 of CA, 2013

ORDER

Present: Ld. Counsel Shri. G Sudhakar for the Applicant.

Vide seperate order pronounced in open court, the scheme is approved.

File be consigned to records.

Sd/- **Sd/-**

(VENKATARAMAN SUBRAMANIAM) **(SANJIV JAIN)**
MEMBER (TECHNICAL) MEMBER (JUDICIAL)

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IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/1(CHE)2024 in CA(CAA)/63/CHE/2024

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Of

RINEILE MICRO FABRICS PRIVATE LIMITED
CIN: U17111TZ2006PTC013037
Registered Office at SF No.118,
Valliyarachal Village, Vellakovil (via)
Vellakovil-638111

…Petitioner-1/Transferor Company

And

G.V.S. SPINNERS PRIVATE LIMITED
CIN: U17111TZ1992PTC003669
Registered Office at 201
SG Valasu Veerappanchatram,
Erode-638 004.

... Petitioner-2/Transferee Company

And

Their Respective shareholders and creditors

Order Pronounced on ***26th July 2024***

CORAM

SANJIV JAIN, MEMBER (JUDICIAL)
VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

For Applicant(s): G. Sudhakar, Advocate

ORDER

(Heard through Hybrid mode)

This Company Petition has been filed by the Petitioner Companies above named for approval of the Scheme of Amalgamation of **RINEILE MICRO**

FABRICS PRIVATE LIMITED (for brevity "Transferor Company ") with **G.V.S. SPINNERS PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies. The said Scheme is attached as **Page No 93** along with the petition typeset.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Company and Transferee Company had filed the First Motion Application vide CA(CAA)/63/(CHE)/2024 seeking directions as follows

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY	To dispense with	To dispense with	To dispense with
TRANSFEREE COMPANY	To dispense with	To dispense with	To dispense with

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide

order dated 20.12.2023 and meetings of the equity shareholders, secured creditors and unsecured creditors were dispensed with.

Subsequently, the second motion petition was filed before this Tribunal by the petitioner companies on 01.01.2024 for sanction of the Scheme of Amalgamation by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefits;

> "a. The scheme will lead to better and more economic control and efficient management with greater focus and attention and optimum utilization of available resources.
>
> b. The Amalgamated entity will create value to the shareholders
>
> c. The Amalgamated entity will have synergy in operations.
>
> d. The scheme will lead to synergetic benefits, cost reduction, higher efficiencies and better utilization of available resources, better leveraging for financial benefits, productivity gains and contributing for significant growth
>
> e. Economies of Scale

f. Reasonable size of operations that will improve the stature of the Company

g. Integration of administrative practices and implementation of uniform management practices and

h. All the shareholders are common."

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 17.01.2024 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region),Chennai (ii) ROC, Coimbatore, (iii) Official Liquidator (iv) the Jurisdictional Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Tamil Murasu" Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies filed an affidavit of service before the Registry of this Tribunal on 04.03.2024. A perusal of the same discloses that the Petitioner Companies effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Tamil Murasu"

(Tamil Nadu Edition) in Tamil on 24.02.2024 respectively. It is also seen that notices have been also served to

S.No	Statutory authorities	Date of Notice
1.	Regional Director, Southern Region, Chennai.	18.01.2024
2.	Registrar of Companies, Coimbatore.	23.01.2024
3.	Official Liquidator	25.01.2024
4.	Income Tax Department	30.01.2024

Pursuant to the service of notice of the petition, the following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

(i) On issuance of notice, the Regional Director, *(hereinafter referred to as 'RD')* Southern Region, Chennai has filed his report before this Tribunal vide SR.No.998 on 26.02.2024 and the same is as follows:

Para	Observations
7	That Clause 8.1 (a) of Part II of the scheme confirms that all the staff, workmen and other employees in the service of Transferor Company, immediately before the appointed date, under this scheme shall become the executives, staff, workmen and other employees of the Transferee Company on

	the basis that their services shall have been continuous and shall not have been interrupted by reasons of such transfer as if such transfer is effected under Section 25FF of the Industrial Disputes Act, 1947.
8	That Clause 12.1 of Part-II of the Scheme, upon the Scheme becoming fully effective and in consideration of the transfer and vesting of the undertaking of Transferor Company as on the Record date, shall, without any application or deed, be allotted 40 (forty) ordinary equity shares of Rs.100/- each credited as fully paid up of the Transferee Company in respect of every 5 (five) ordinary equity share of Rs.1000/- each fully paid up held by them in the Transferor Company.
9	That Clause 11.1 of Part-ll of the Scheme provides that upon the scheme becoming effective, the authorized capital of the Transferor Company shall stand combined with the authorized share capital of the Transferee Company. Filing fees and stamp duty, if any, paid by the Transferor Company on their respective authorized share capital, shall be deemed to have been so paid by the Transferee Company on the combined authorized share capital and accordingly, the Transferee Company shall not be required to pay any fee/stamp duty for its increased authorized share capital. The prayer of the Petitioner company is not tenable. Hence, this tribunal to direct the Petitioner to pay the difference fee/stamp duty if any arises on proposed increase of authorized share capital and file the amended MOA and AOA with the ROC.

11	That the Clause 17 of Part-ll of the Scheme provides for dissolution of the Transferor Company, without being wound up.
12	That as per the report dated 9.2.2024 of ROC, Coimbatore, the Transferor Company and Transferee Company are regular in filing their statutory returns and filed returns upto financial year ending 31st March 2023. ROC, Coimbatore has further stated that there is no prosecution/ complaint/ inspection or investigation pending against the Transferor Company.

(ii) It is stated by the RD that, after examining the scheme it has decided not to make any objection to the Scheme except for the observation made in para 10 if the report.

(iii) In reply to the observations made by the RD, the Ld. Counsel for the Applicant has filed a reply affidavit before this Tribunal on 31.05.2024 vide SR No. 2650, wherein it is undertaken by the MD of the Transferor/Transferee Company to pay any difference in fee/stamp duty, if any with the jurisdictional ROC.

7.2. OFFICIAL LIQUIDATOR

(i) In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued, he has filed the Report before this Tribunal on

07.05.2024 vide SR.No.2292. It is stated in the report that, they have appointed VSV Associates, Chartered Accountants Firm from the panel maintained by their office to verify into the affairs of the Transferor Company. The OL in the report filed before this Tribunal has observed as follows;

<table>
<tr><th>Para</th><th>Observations</th></tr>
<tr><td>4a</td><td>Based on the information and explanations given to them, there are no legal proceedings pending against the company as on date.</td></tr>
<tr><td>4b</td><td>The Transferor Company has filed its Income Tax Return up to Assessment Year 2023-2024.</td></tr>
<tr><td>4c</td><td>There are statutory dues with respect to TDS (income tax) and Provident Fund as on date of this report as under
<table>
<tr><th>Sl. No</th><th>Particulars</th><th>Amount in Rs.</th></tr>
<tr><td>1.</td><td>TDS (Income Tax)</td><td>29,890/-</td></tr>
<tr><td>2.</td><td>Provident Fund</td><td>1,76,363/-</td></tr>
</table></td></tr>
<tr><td>4d</td><td>The Chartered Accountants have conducted a search on the records filed by the Transferor Company with Registrar of Companies (ROC), Tamil Nadu, Coimbatore on the MCA portal in respect of e-filing made by the company and available for public inspection.</td></tr>
<tr><td>4e</td><td>The Transferor Company has 1 (One) Secured</td></tr>
</table>

	Creditor and the Chartered Accountants (Statutory Auditor) have given certificate to that effect. The total number of unsecured creditors are 22 (Twenty-Two) and the Chartered Accountant (Statutory Auditor) have given certificate to that effect. Pursuant to orders of Tribunal dated 20/12/2023, Secured Creditor and unsecured creditors and equity shareholders meeting has been dispensed with. The Transferor Company has settled the secured creditors and charges satisfied as per ROC records.
4f	Share valuation given by CS. Vasudevan Gopu, Registered Valuer. On merger, the shareholders of the Transferor Company will be allotted 40 fully paid equity shares of Rs. 100/- each of the Transferee Company for every 5 fully paid-up equity shares of Rs.1000/- each in the Transferor Company.
5	The Chartered Accountants have scrutinized the records of the Transferor Company and have not come across any Act of misfeasance, diversion of funds and other matters which would attract the provisions of Sections 339/340 of the Companies Act, 2013.
6.	The Chartered Accountants are of the opinion that the affairs of M/s. Rineile Micro Fabrics Private

	Limited have not been conducted in a manner prejudicial to the interest of its members or creditors or to the public and to all stake holders.
7.	That in accordance to the basis of documents produced before the Official Liquidator and on the basis of the documents available in the MCA data base and also considering the facts mentioned by the Chartered Accountants in their report dated 20/04/2024, the Official Liquidator is of the view that the petition may be considered fairly as the affairs of the company have not been conducted in a manner prejudicial to the interest of its creditors or public subject to the above mentioned observations.

(ii) The Official Liquidator has sought to take on record the above observations and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **Rs. *30000+ GST (Rupees Thirty Thousand plus GST)*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

(iii) In reply to the OL Report the Ld. Counsel for the petitioner has filed a reply affidavit, stating that there are no statutory dues pending before any authority. In respect of query raised by OL in para 4C of the report regarding the statutory dues with respect to TDS (income tax) and Provident Fund as on date of this report it is stated that they have been paid in total.

7.3. OTHER STATUTORY AUTHORITIES

Despite notice having been served on 30.01.2024, and public notice issued on 24.02.2024 in *Business Standard English (All India Edition) and Tamil Murasu (Tamil Nadu Edition)* there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.ed

(iii) In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax*

(2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. VALUATION REPORT

8.1. The Petitioner Companies have filed the Valuation Report obtained from one **VASUDEVAN GOPU**, Registered Valuer dated 14.05.2023, wherein it has been recommended by the Independent Valuer that :

Based on the foregoing data and considering the other source of information that I have derived during the process of this engagement, I hereby make the following conclusion regarding this Valuation

- The final Value of the companies M/s. G.V.S. Spinners Private Limited and M/s. Rineile Micro Fabrics Energy Transport Private Limited is Rs. 202.671 Million and Rs. 152.846 Million respectively.
- Based on the Discounted Cash Flow Method, per Equity Share of M/s. G.V.S Spinners Private Limited, having face value of Rs. 100 each is Valued at **Rs. 1070.35/-**
- Based on the Discounted Cash Flow method, per Equity Share of M/s. Rineile Micro Fabrics Private Limited, having face value of Rs. 1000 each is Valued at **Rs. 8562.80/-**
- Total fair value of Equity Shares to be made by M/s. G.V.S. Spinners Private Limited to the shareholders of M/s. Rineile Micro Fabrics Private Limited in the scheme of proposed merger is Rs. 15,28,46,001/-
- **Considering the present shareholding pattern and per Equity Share Value of the companies under merger, the Fair Share Exchange Ratio for the proposed Merger would be 40 Equity shares (of Rs. 100 each) in G.V.S. Spinners Private Limited for every 5 Equity shares (of Rs. 1000 each) in Rineile Micro Fabrics Private Limited** (Refer Annexure – 3)

9. ACCOUNTING TREATMENT

9.1. The Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed at Page. 77A & 78A of the typed set filed along with the Application.

9.2 It is stated that, no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the

petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Page 93 with the Company Petition as well as the prayer made therein.

10.2. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.3. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April 2023** as mentioned in clause 1.2 of the SCHEME itself. Further the Appointed date is within one year from the date of filing of Application.

(iv) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 12 the

Scheme herein the shares in the Transferee Company to which they are entitled under the said Scheme.

(v) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vi) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of

Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to the said company shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd- ***-Sd-***

VENKATARAMAN SUBRAMANIAM **SANJIV JAIN**
MEMBER (TECHNICAL) MEMBER (JUDICIAL)

Vinita Varshini. K